

Cornerstone Real Assets Fund II, L.P.

Financial Statements

For the Year Ended December 31, 2024

Auditor: Whitmore & Banks LLP • Administrator: Summit Real Estate Administration, LLC

Functional Currency: U.S. Dollars (USD)

Report of Independent Auditors

To the Partners of Cornerstone Real Assets Fund II, L.P.:

We have audited the accompanying financial statements of Cornerstone Real Assets Fund II, L.P. (the "Fund") as of and for the year ended December 31, 2024. In our opinion, the financial statements present fairly, in all material respects, the financial position of the Fund in accordance with U.S. GAAP, including ASC 946. Real estate investments are measured at fair value under ASC 820.

Whitmore & Banks LLP

Dallas, Texas March 27, 2025

Statement of Assets and Liabilities

As of December 31, 2024

Assets

Real estate investments, at fair value (cost \$233,000,000)	\$298,000,000
Cash and cash equivalents	\$16,000,000
Tenant receivables and other assets	\$5,500,000

Total assets	\$319,500,000
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Liabilities

Mortgage loans payable	\$130,000,000
Accrued expenses and other liabilities	\$4,500,000

Total liabilities	\$134,500,000
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Total partners' capital (net assets)	\$185,000,000
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Statement of Operations

For the Year Ended December 31, 2024

Investment income

Rental income	\$27,000,000
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Expenses

Property operating expenses	\$9,390,000
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Interest expense (mortgages)	\$6,200,000
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Management fee	\$3,200,000
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Other fund expenses	\$1,400,000
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Total expenses	\$20,190,000
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Net investment income	\$6,810,000
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Net change in unrealized appreciation on real estate	\$19,000,000
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Net increase in net assets from operations	\$25,810,000
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Statement of Changes in Partners' Capital

For the Year Ended December 31, 2024

Partners' capital, beginning of year	\$141,190,000
Capital contributions	\$30,000,000
Distributions	(\$12,000,000)
Net increase from operations	\$25,810,000
Partners' capital, end of year	\$185,000,000

Schedule of Investments (Properties)

As of December 31, 2024 all properties are Level 3 in the fair value hierarchy

Property / Type	Fair Value
Maple Court Apartments	\$78,000,000
Multifamily cost \$60,000,000 • cap rate 5.0% • NOI \$3,900,000	
Harbor Point Logistics Center	\$92,000,000
Industrial cost \$55,000,000 • cap rate 5.5% • NOI \$5,060,000	
Riverside Office Plaza	\$41,000,000
Office cost \$48,000,000 • cap rate 8.0% • NOI \$3,280,000	
Sunbelt Retail Portfolio	\$49,000,000
Retail cost \$42,000,000 • cap rate 6.5% • NOI \$3,185,000	
Cedar Ridge Self-Storage	\$38,000,000
Self-Storage cost \$28,000,000 • cap rate 5.8% • NOI \$2,185,000	
Total real estate investments, at fair value	\$298,000,000
Total cost	\$233,000,000

Notes to the Financial Statements

Note 1 Organization

Cornerstone Real Assets Fund II, L.P. is a Delaware limited partnership formed in 2021 to acquire and operate a diversified portfolio of U.S. commercial real estate. The general partner is Cornerstone Real Assets GP II, LLC. Total commitments are \$350,000,000, of which \$263,000,000 had been called as of December 31, 2024, leaving \$87,000,000 uncalled.

Note 2 Fair Value Measurements (ASC 820)

Real estate investments are classified as Level 3 and valued using the income capitalization and discounted cash flow approaches. Unobservable inputs include capitalization rates ranging from 5.0% to 8.0% and discount rates ranging from 6.5% to 9.0%. Independent third-party appraisals are obtained annually for each property.

Note 3 Mortgage Loans Payable and Leverage

Property-level mortgage loans payable totaled \$130,000,000 as of December 31, 2024, representing a portfolio loan-to-value ratio of 43.6% against aggregate property fair value. The fund-level leverage limit under the partnership agreement is 60% loan-to-value.

Note 4 Recent Appraisals

In December 2024, the Fund obtained an updated independent appraisal of Harbor Point Logistics Center indicating a value of \$84,000,000, reflecting softening industrial rents in the submarket. The remaining properties were appraised consistent with their carrying values.

Note 5 Financial Highlights

Portfolio net operating income (NOI)	\$17,610,000
Weighted-average capitalization rate	5.9%
Portfolio loan-to-value	43.6%
Total return, net of fees	13.1%

Note 6 Subsequent Events

The Fund has evaluated subsequent events through March 27, 2025. In January 2025, the Fund refinanced the mortgage on Sunbelt Retail Portfolio. No other material subsequent events were identified.